6. Don’t Confuse the Concepts of Winning and Losing Trades with Good and Bad Trades

A good trade can lose money, and a bad trade can make money. Even the best trading processes will lose a certain percentage of the time. There is no way of knowing a priori which individual trade will make money. As long as a trade adhered to a process with a positive edge, it is a good trade, regardless of whether it wins or loses, because if similar trades are repeated multiple times, they will come out ahead. Conversely, a trade that is taken as a gamble is a bad trade regardless of whether it wins or loses because over time such trades will lose money.

7. Do More of What Works and Less of What Doesn’t

This core advice offered by Clark may sound obvious, but the reality is that many traders violate this principle. It is quite common for a trader to be good at one type of trade, but to degrade performance by also engaging in trades without any clear edge, whether due to boredom or other reasons. Clark’s message is that traders need to figure out what they are best at and then focus their attention on those types of trades.

8. If You Are Out of Sync with the Markets, Trying Harder Won’t Help

When trading is going badly, trying harder is often likely to make matters even worse. If you are in a losing streak, the best action may be to step